or investment advisers that manage diversified portfolios. It involves organizing proxy materials, performing due diligence on portfolio companies and matters to be voted on, determining whether and how votes should be cast, and submitting proxy cards to be counted. Proxy voting advice businesses offer to perform a variety of tasks related to voting, including the following:

- Analyze and make voting recommendations on the matters presented for shareholder vote and included in the registrants' proxy statements;
- Execute proxy votes (or voting instruction forms) in accordance with their benchmark policy, a specialty policy, or a custom policy;[471]
- Assist with the administrative tasks associated with voting and keep track of the large number of voting determinations; and
- Provide research and identify potential risk factors related to corporate governance.

We also understand that, in the absence of the services offered by proxy voting advice businesses, investment advisers and other clients of these businesses may expend considerable resources to independently conduct the work necessary to analyze, recommend, and make voting determinations. As a consequence, we understand that some investment advisers and institutional investors find it efficient to hire proxy voting advice businesses to perform various voting and voting-related services, rather than performing them in-house.[472] Proxy voting advice businesses generally are able to capture significant economies of scale that are not available to many investment advisers and institutional investors on an individual basis.[473]

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[471] *See* letter from ISS.

[472] *See* Concept Release at 42983.

[473] *See* CHESTER S. SPATT, *PROXY ADVISORY FIRMS, GOVERNANCE, MARKET FAILURE, AND REGULATION* 7 (2019), *available at* https://www.milkeninstitute.org/sites/default/files/reports-pdf/Proxy%20Advisory%20Firms%20FINAL.pdf ("Spatt (2019)"). Commenters also suggest that proxy voting advice businesses are an economically efficient means of collecting information and analyzing voting issues. *See, e.g.*, letter from CEC.

In 2007, the U.S. Government Accountability Office ("GAO") found that among 31 institutions, including mutual funds, pension funds, and asset managers, large institutions relied less than small institutions on the research and recommendations offered by proxy voting advice businesses. Large institutions indicated that their reliance on proxy voting advice businesses was limited because they: (i) conduct their own research and analyses to make voting determinations and use the research and recommendations offered by proxy voting advice businesses only to supplement such analyses; (ii) develop their own voting policies, which the proxy voting advice businesses are responsible for executing; and (iii) contract with more than one proxy voting advice business to gain a broader range of information on proxy issues.[474] In contrast, small institutions said they had limited resources to conduct their own research and tended to rely more heavily on the research and recommendations offered by proxy voting advice businesses.[475] The findings of a 2016 GAO study that surveyed 13 institutional investors were similar.[476]

As discussed in Section I above, proxy voting advice businesses have the potential to influence many investors' voting decisions and, as a result, the overall vote. Clients of proxy voting advice businesses number in the thousands, and they exercise voting authority or influence over a sizable number of shares that are voted annually. Commenters described the informational

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[474] *See* U.S. GOV'T ACCOUNTABILITY OFFICE, GAO-07-765, REPORT TO CONGRESSIONAL REQUESTERS, CORPORATE SHAREHOLDER MEETINGS: ISSUES RELATING TO THE FIRMS THAT ADVISE INSTITUTIONAL INVESTORS ON PROXY VOTING, 17–18 (2007), *available at* https://www.gao.gov/new.items/d07765.pdf ("2007 GAO Report"); *see also* Letters in response to the SEC Staff Roundtable on the Proxy Process from BlackRock (Nov. 16, 2018) ("BlackRock's Investment Stewardship team has more than 40 professionals responsible for developing independent views on how we should vote proxies on behalf of our clients."); NYC Comptroller (Jan. 2, 2019) ("We have five full-time staff dedicated to proxy voting during peak season, and our least-tenured investment analyst has 12 years' experience applying the NYC Funds' domestic proxy voting guidelines."); Transcript of the Roundtable on the Proxy Process at 194 (comments of Mr. Scot Draeger) ("If you've ever actually reviewed the benchmarks, whether it's ISS or anybody else, they're very extensive and much more detailed than small firm[s] like ours could ever develop with our own independent research.").

[475] 2007 GAO Report, *supra* note 474, at 17–18.

[476] *See* 2016 GAO Report, *supra* note 141, at 2.

benefits that clients derive from proxy voting advice[477] and how proxy voting advice businesses enable them to make informed voting determinations on behalf of investors and beneficiaries.[478]

To the extent that proxy voting advice businesses influence voting decisions, they also may indirectly impose certain costs on shareholders. Recent theoretical research on the role of proxy voting advice suggests that the presence of proxy voting advice businesses may induce investors to over-rely on information produced by these businesses to make voting decisions. This over-reliance arises because shareholders do not internalize the benefits for other shareholders of their own independent research of matters put to a vote. Instead shareholders find it privately efficient to outsource the analysis of voting decisions to proxy voting advice businesses.[479] Additionally, if proxy voting advice businesses significantly influence voting,[480] registrants and other market participants may seek to engage with proxy voting advice businesses rather than engaging directly with investors or registrants. Thus, the presence of proxy voting advice businesses may negatively affect the ability of certain investors to engage with and influence registrants and other investors. On the other hand, from a transactions cost perspective, being able to engage with a few large and

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[477] *See* letter from Kenneth A. Bertsch, Executive Director, and Jeffrey P. Mahoney, General Counsel, Council of Inst. Investors (Feb. 20, 2020) ("CII VIII").

[478] *See, e.g.*, letters from MFA & AIMA; New York Comptroller II.

[479] *See generally* Andrey Malenko & Nadya Malenko, *Proxy Advisory Firms: The Economics of Selling Information to Voters*, 74 J. FIN. 2441 (2019). In their theoretical model, the authors assume shareholders have perfectly aligned incentives, with all shareholders agreeing on share value maximization as the singular goal of the firm so the applicability of their results is limited by the extent to which investors have goals other than, or in addition to, share value maximization. The authors further assume that proxy advice is provided by a single monopolistic proxy advisory firm, and that shareholders follow proxy advisory firm advice without exception. Additionally, the authors assume that when deciding whether to invest in their own independent research, shareholders believe that their votes will be pivotal to the vote outcome. The ownership structure of the company is key to the reported findings: the paper shows that proxy advisory services are valuable when ownership is sufficiently dispersed. In contrast, proxy advisory services are likely to have negative effects for companies with more concentrated ownership because they discourage independent information acquisition by shareholders. However, their results also imply that when ownership is very concentrated shareholders again find proxy advisory services to be valuable because each shareholder's vote is more likely to be pivotal.

[480] *See infra* notes 481 and 482.

important intermediaries, compared to engaging bi-laterally with multiple shareholders, may be more efficient for registrants and investors.

Although the economic incentives to concentrate voting power and influence in proxy voting advice businesses are strong, research on the role of proxy voting advice businesses in influencing voting, however, has produced a wide range of results. For example, a number of studies suggest that proxy voting advice has substantial influence on proxy votes,[481] while others suggest a more limited influence.[482] We note that existing academic studies examine the relationship between proxy votes and proxy voting advice businesses' recommendations based on benchmark policies. The relationship between proxy votes cast and voting recommendations provided to clients using clients' custom policies has not, to date, been the subject of academic study.[483]

Research on the role of proxy voting advice businesses in proxy voting has also produced inconclusive results with respect to the quality of voting advice. For example, proxy voting advice

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[481] *See, e.g.*, Cindy R. Alexander et al., *Interim News and the Role of Proxy Voting Advice*, 23 REV. FIN. STUD. 4419, 4422 (2010); Alon Brav et al., *Picking Friends Before Picking (Proxy) Fights: How Mutual Fund Voting Shapes Proxy Contests* (Columbia Bus. Sch., Research Paper No. 18-16, 2019) at 4, *available at* https://papers.ssrn.com/sol3/papers.cfm?abstract_id=3101473 ("Brav et al. (2019)"); James R. Copland, David F. Larcker, & Brian Tayan, *The Big Thumb on the Scale: An Overview of the Proxy Advisory Industry* (Stanford Bus. Sch. Closer Look Series, May 30, 2018) at 3, *available at* https://www.gsb.stanford.edu/sites/gsb/files/publication-pdf/cgri-closer-look-72-big-thumb-proxy-advisory.pdf; James R. Copland, David F. Larcker, & Brian Tayan, *Proxy Advisory Firms: Empirical Evidence and the Case for Reform*, MANHATTAN INSTITUTE (May 2018) at 6, *available at* https://media4.manhattan-institute.org/sites/default/files/R-JC-0518-v2.pdf ("Copland et al. (2018)"); Albert Verdam, *An Exploration of the Role of Proxy Advisors in Proxy Voting* (Working Paper, 2006) at 23, *available at* https://papers.ssrn.com/sol3/papers.cfm?abstract_id=978835 ("Verdam (2006)"); *See* letter from Chong Shu, University of Southern California, Marshall School of Business (Jun. 22, 2020).

[482] *See* Stephen Choi, Jill Fisch, & Marcel Kahan, *The Power of Proxy Advisors: Myth or Reality?*, 59 EMORY L.J. 869, 905–06 (2010). *See also* Brav et al. (2019), *supra* note 481, at 35. The authors find that larger mutual fund families cast votes "in ways completely independent from what are recommended by the advisors."

[483] Commenters stated that a large majority of proxy votes are cast by proxy advice business clients who provide custom policies to proxy voting advice businesses and, in return, receive customized voting recommendations based on these policies. *See* letter from ISS. To our knowledge, however, no academic study examines the relation between proxy votes and the voting recommendations provided under the client's custom policies. It is our understanding that clients who receive voting recommendations based on custom policies also receive the proxy voting advice business's benchmark reports.

businesses have been the subject of criticism for potentially being influenced by conflicts of interest,[484] producing reports that contain inaccuracies, and utilizing one-size-fits-all methodologies when evaluating a diverse array of registrants or when providing services to a diverse array of clients.[485]

To assess the quality of voting advice, studies have sought to examine stock market reactions to registrants' announcements that they will adopt policies consistent with proxy voting advice businesses' recommendations.[486] These studies hypothesize that the value of such policies should be impounded in stock prices, and if investors expect adoption of a particular policy to increase the value of a registrant, an announcement that the registrant plans to adopt the policy should be associated with a positive stock price reaction. This reasoning assumes clients aim to increase a registrant's share price and that proxy voting advice businesses tailor voting recommendations to achieve this aim. Proxy voting advice businesses and certain of their clients, however, may have goals other than, or in addition to, maximizing the current value of a registrant's shares. Furthermore, the attribution of stock price reactions to the adoption of policies by a registrant may be challenging due to multiple announcements and other information about the registrant that may be released concurrently. Together, these limitations make it difficult for

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[484] For example, some proxy voting advice businesses provide consulting services to registrants on corporate governance or executive compensation matters, such as assistance in developing proposals to be submitted for shareholder vote. *See* Concept Release at 42989. As a result, some proxy voting advice businesses provide advice regarding a registrant to their institutional investor clients on matters for which they may also provide consulting services to the registrant. One commenter submitted research that attempts to identify and quantify the impact of conflicts of interest on recommendations and the effect of competition between proxy voting advice businesses on the likelihood of biased recommendations. The research finds that competition reduces recommendations in favor of management, and that biased recommendations have negative effects on registrants. The ability to identify the provision of consulting services and to measure biases in recommendations, however, represents a significant data challenge for the estimation of the purported effects. *See* letter from Prof. Li.

[485] *See* letter from CCMC.

[486] *See generally* David F. Larcker, Allan L. McCall, & Gaizka Ormazabal, *Outsourcing Shareholder Voting to Proxy Advisory Firms,* 58 J.L. & ECON. 173 (2015) (finding that when registrants adjust their compensation program to be more consistent with recommendations of proxy voting advice businesses, the stock market reaction is statistically negative).

researchers to conclusively infer recommendation quality from stock market reactions to implementation of proxy voting advice business recommendations.[487]

2. Commenter Concerns Regarding the Rule's Economic Justification

In response to the Proposing Release, commenters expressed a range of views regarding the rule's economic justification. Some commenters asserted that there are failures in the market for proxy advice that justify the final rule.[488] In addition to a variety of anecdotal evidence, some commenters provided surveys of registrants,[489] corporate governance professionals,[490] and retail investors[491] that indicated concerns about factual inaccuracies and conflicts of interest in the proxy voting process.

Other commenters stated, generally, that there is no principal-agent problem or other market failure and that the proposed rule's economic analysis failed to describe or provide demonstrable evidence of a problem in the market for proxy advice that cannot be solved via contractual arrangements in the private sector, other market based mechanisms, or existing Commission rules (*e.g.*, Rule 206(4)-6 under the Investment Advisers Act).[492] For example, one

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[487] Proxy voting advice business clients may have goals other than, or in addition to, maximizing the value of a registrant's shares, or these clients may have investment objectives that would not be achieved solely on the basis of a positive market reaction. *See* Spatt (2019), *supra* note 473, at 4; Patrick Bolton et al., *Investor Ideology* (Nat'l Bureau of Econ. Research, Working Paper No. 25717, 2019), *available at* https://www.nber.org/papers/w25717.pdf; Gregor Matvos & Michael Ostrovsky, *Heterogeneity and Peer Effects in Mutual Fund Proxy Voting*, 98 J. FIN. ECON. 90 (2010); Copland et al. (2018), *supra* note 481, at 6; Verdam (2006), *supra* note 481, at 12.

[488] *See, e.g.*, letters from CEC; BPC; Mylan; Exxon Mobil; Nareit; ACCF; BRT; Timothy M. Doyle (Feb. 3, 2020) ("T. Doyle"); CGC; State Street; Nasdaq; SCG; Charter; NAM; J. Ward; BIO; Christopher A. Iacovella, Chief Executive Officer, American Securities Association (Feb. 3, 2020) ("ASA"); Shareholder Advocacy; Michael Hietpas (Feb. 3, 2020) ("M. Hietpas"); John Endean, President, American Business Conference (Feb. 19, 2020) ("ABC").

[489] *See* letter from Nasdaq.

[490] *See* letter from SCG.

[491] *See* letter from J.W. Verret, Associate Professor of Law, George Mason University Antonin Scalia School of Law (Jan. 22, 2020) ("Prof. Verret") (updating prior Spectrem survey results). One commenter disputed the methodology used in the survey of retail investors, claiming it used leading questions and ultimately showed that retail investors are generally uninformed about the proxy voting advice market. *See* letter from Prof. Coates.

[492] *See, e.g.*, letters from Segal Marco II; TRP; PRI II; ProxyVote II; Laura Chappel, Chief Executive, Brunel Pension Partnership Limited (Feb. 3, 2020) ("Brunel"); Michael J. Clark, Founder and Director, Ario Advisory (Feb. 3, 2020)

commenter disputed the claims cited in the Proposing Release that proxy voting advice contains inaccuracies or errors significant enough to require regulatory intervention, stating that proxy voting advice businesses "have every incentive to conduct credible research and provide accurate recommendations."[493] Another commenter provided analysis showing that two proxy voting advice businesses are more likely to recommend their clients vote with management than a typical investor is to vote with management, casting doubt on claims that proxy voting advice businesses tend to encourage shareholders to oppose management proposals.[494] Another commenter provided independent analysis of the dynamics of proxy vote recommendations, showing that they change over time in response to events and new information, suggesting they are not "monolithic."[495]

One commenter suggested that there is a different source of market failure inherent to the proxy voting process and proxy voting advice businesses stemming from the collective action problem inherent in shareholder voting.[496] According to the commenter, investors do not value

("Ario"); CII IV; Prof. Coates; Kevin Thomas, Chief Executive Officer, Shareholder Association for Research and Education (Jan. 30, 2020) ("SHARE II"); Louise Davidson, Chief Executive Officer, Australian Council of Superannuation Investors (Jan. 31, 2020) ("ACSI"); BMO; Proxy Insight (Jan. 31, 2020) ("Proxy Insight"); Elliott I; Better Markets; New York Comptroller II; AFL-CIO II; Joel Schneider, Chair, Corporate Governance Committee, Dimensional Fund Advisors (Feb. 3, 2020) ("Dimensional"); Ron Baker, Executive Director, Colorado Public Employees' Retirement Association (Feb. 3, 2020) ("Colorado PERA"); Ashbel C. Williams, Executive Director & CIO, State Board of Administration of Florida (Feb. 3, 2020) ("Florida Board"); David Villa, Executive Director & Chief Investment Officer, et al., State of Wisconsin Investment Board (Feb. 3, 2020) ("SWIB"); CFA Institute I; CIRCA; AllianceBernstein; LA Retirement; Glass Lewis II (noting that no market failure is identified in the release and that other jurisdictions' regulators, including ESMA, have concluded that there is no market failure in the proxy voting advice business industry); ISS; Michael Passoff, CEO, Proxy Impact (Feb. 3, 2020) ("Proxy Impact"); Kenneth A. Bertsch, Executive Director, and Jeffrey P. Mahoney, General Counsel, Council of Inst. Investors (Feb. 4, 2020) ("CII V"); C. Icahn; ValueEdge I; CII VIII. *See also* IAC Recommendation (stating that, rather than citing reliable evidence of material problems with proxy voting advice businesses, the SEC asserts that problems "may" or "could" exist, based on claims from private interests (who are biased in favor of issuers) that problems exist).

[493] *See* letter from New York Comptroller II. *See also* letter in response to the SEC Staff Roundtable on the Proxy Process from CII (stating that "[p]roxy advisers' business model depends on factual accuracy and their incentives are thus aligned with issuers and institutional investors alike.").

[494] *See* letter from Proxy Insight.

[495] *See* letter from PRI II.

[496] *See* letter from B. Sharfman I. *See also* letter from Bryce C. Tingle, N. Murray Edwards Chair in Business Law, Faculty of Law, University of Calgary (Jan. 31, 2020) ("Prof. Tingle") (similarly asserting that both fund managers and proxy voting advice business are not incentivized to expend significant resources in producing and evaluating

expending resources to determine their position on a given proxy vote because, on the margin, their vote does not matter and they do not fully internalize all of the benefits associated with any resources they do expend.[497] The commenter further asserts that proxy voting advice businesses, in turn, can therefore only charge modest fees for their services, which leads them to be resource constrained in performing their own research. Thus, according to the commenter, this arrangement leads to voting recommendations that are not adequately informed or precise, and thus imposes negative externalities on shareholders. The commenter argues that, because market forces are unable to improve the quality of voting recommendations and reduce these externalities, there is a need for regulatory action.[498] Another commenter offered a different perspective, arguing instead that proxy voting advice businesses represented a private market solution to shareholders' collective action problem, rendering regulatory intervention unnecessary.[499] Other commenters posited that the underlying concentration among proxy voting advice businesses and conflicts of interest are the result of past regulatory action that created demand for the services of proxy voting advice businesses.[500]

We believe that the important role proxy voting advice businesses currently play in facilitating clients' participation in the proxy process, as well as the importance of ensuring that clients have access to more complete information regarding matters to be voted on, and the material conflicts of interest proxy voting advice businesses may have, support the final

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voting advice, but without attributing this lack of incentives to a collective action problem on the part of shareholders.).

[497] Academic research has shown, theoretically, that the inability of shareholders to fully internalize the benefits of developing an informed position on matters put to a shareholder vote can cause shareholders to over-rely on proxy voting advice under certain conditions. *See supra* note 479.

[498] *See* letter from B. Sharfman I.

[499] *See* letter from Glass Lewis II.

[500] *See, e.g.*, letter from P. Mahoney and J.W. Verret.

amendments. As discussed in Section I above, the purpose of the amendments is to help ensure that investors who use proxy voting advice have access to more transparent, accurate, and complete information and benefit from a robust discussion of views—similar to what is possible at a meeting where shareholders are physically attending and participating—when making their voting decisions, while minimizing costs or delays that could adversely affect the timely provision of proxy voting advice. The amendments are expected to reduce the costs incurred by clients of proxy voting advice businesses in monitoring for conflicts of interest or acquiring information relevant to assessing proxy voting advice. In this way, the amendments should improve the overall efficiency associated with this segment of the proxy system. Proxy voting advice businesses often act as the intermediary for their clients' participation in the proxy system, and the requirements of the rule will facilitate clients' timely access to, and awareness of, more complete information prior to voting. This has the potential to benefit not just those clients and the immediate shareholders they serve but also investors in our public markets more generally.

B. Economic Baseline

The baseline against which the costs, benefits, and the impact on efficiency, competition, and capital formation of the final amendments are measured consists of the current regulatory requirements applicable to registrants, proxy voting advice businesses, investment advisers, and other clients of these businesses, as well as current industry practices used by these entities in connection with the preparation, distribution, and use of proxy voting advice.

1. Affected Parties and Current Market Practices

a. Proxy Voting Advice Businesses

Proxy voting advice businesses will be affected by the final amendments. As the Commission has previously stated, voting advice provided by a firm such as a proxy voting advice business that markets its expertise in researching and analyzing proxy issues for purposes of

helping its clients make proxy voting determinations (*i.e.*, not merely performing administrative or ministerial services) generally constitutes a solicitation subject to Federal proxy rules because it is "a communication to security holders under circumstances reasonably calculated to result in the procurement, withholding or revocation of a proxy."[501]

Several commenters noted that certain firms involved in the proxy process do not supply research, analysis, and recommendations to support the voting decisions of their clients.[502] To the extent such firms are not providing any voting recommendations and are instead exercising delegated voting authority on behalf of their clients, we agree that such services generally will not constitute "proxy voting advice" under Rule 14a-1(l)(1)(iii)(A) and have adjusted our baseline accordingly.[503]

As of July 22, 2020, to our knowledge, the proxy voting advice industry in the United States consists of three major firms: ISS, Glass Lewis, and Egan-Jones.

- ISS, founded in 1985, is a privately-held company that provides research and analysis of proxy issues, custom policy implementation, vote recommendations, vote execution, governance data, and related products and services.[504] ISS also provides advisory/consulting services, analytical tools, and other products and services to corporate registrants through ISS Corporate Solutions, Inc. (a wholly owned subsidiary).[505] As of April 2020, ISS had nearly 2,000 employees in 30

[501] *See* Commission Interpretation on Proxy Voting Advice at 47417.

[502] Specifically, commenters indicated that two additional firms included in the set of affected proxy voting advice businesses in the Proposing Release, ProxyVote Plus and Marco Consulting Group did not advise investment advisers and institutional investors on their voting determinations and would therefore not be affected by the proposed amendments. *See supra* note 100 and accompanying text. *See also* letters from Segal Marco II; ProxyVote II; CII IV.

[503] *See supra* notes 170-173 and accompanying text.

[504] *See* 2016 GAO Report, *supra* note 141, at 6.

[505] *Id*.